Unit 18

THE NATION AND THE WORLD ECONOMY

A. Introduction

Context

Exchange between parties can be mutually beneficial but conflicts arise over how these gains are distributed.

When goods/services, people, and financial assets can cross national boundaries, new factors are involved.

- How can governments influence trade?
- What affects the distribution of gains from trade?
- When can globalization be detrimental to growth?

This Unit

Use models and concepts from previous units to explain the effects of globalization on:

- International markets for goods and services (trade)
- International capital markets (flows of savings and investment)
- International labor markets (migration)

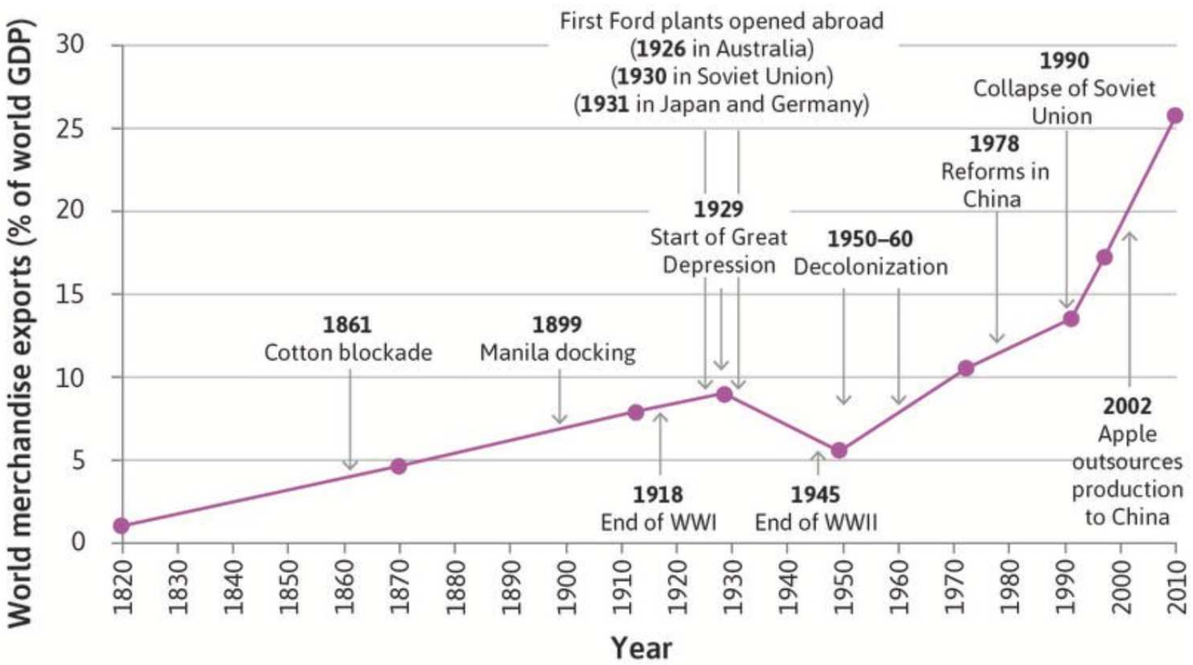
B. Measuring Globalization

Integration of Goods Markets

Merchandise trade: Tangible products that are physically shipped across borders.

Common measures of globalization:

- Imports/exports/total trade as a share of GDP
- Clear upward trend in amount of trade worldwide (except from 1914-1945), with sharp acceleration from 1990s onward



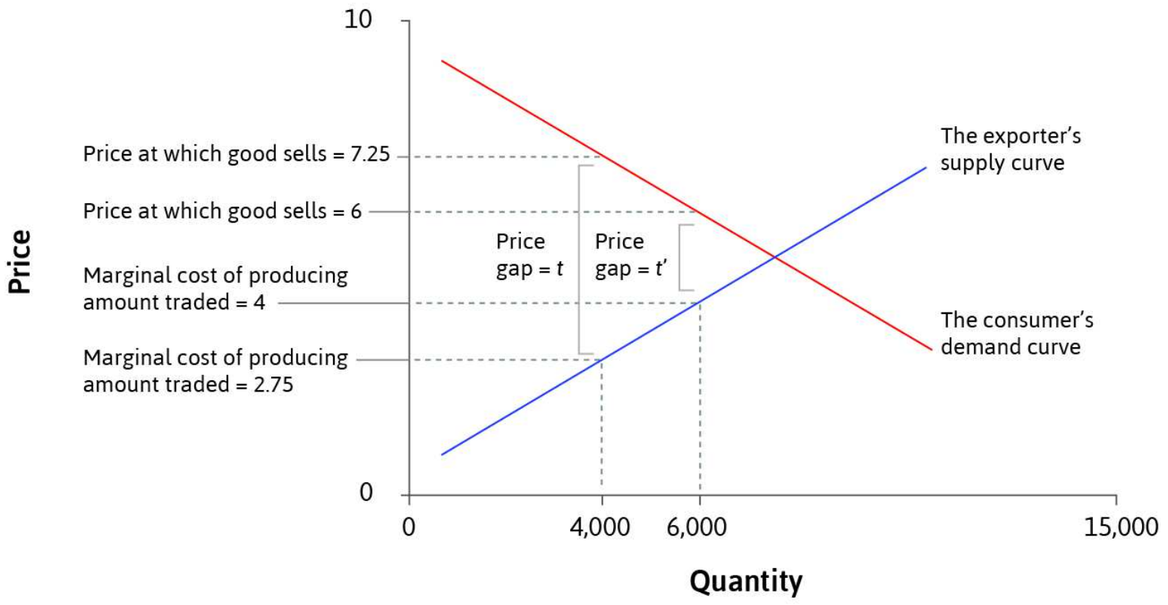
Integration of Goods Markets

Reduction in trade costs (price gaps) between countries

- **Law of One Price** should hold if there are no transport costs or barriers to trade.

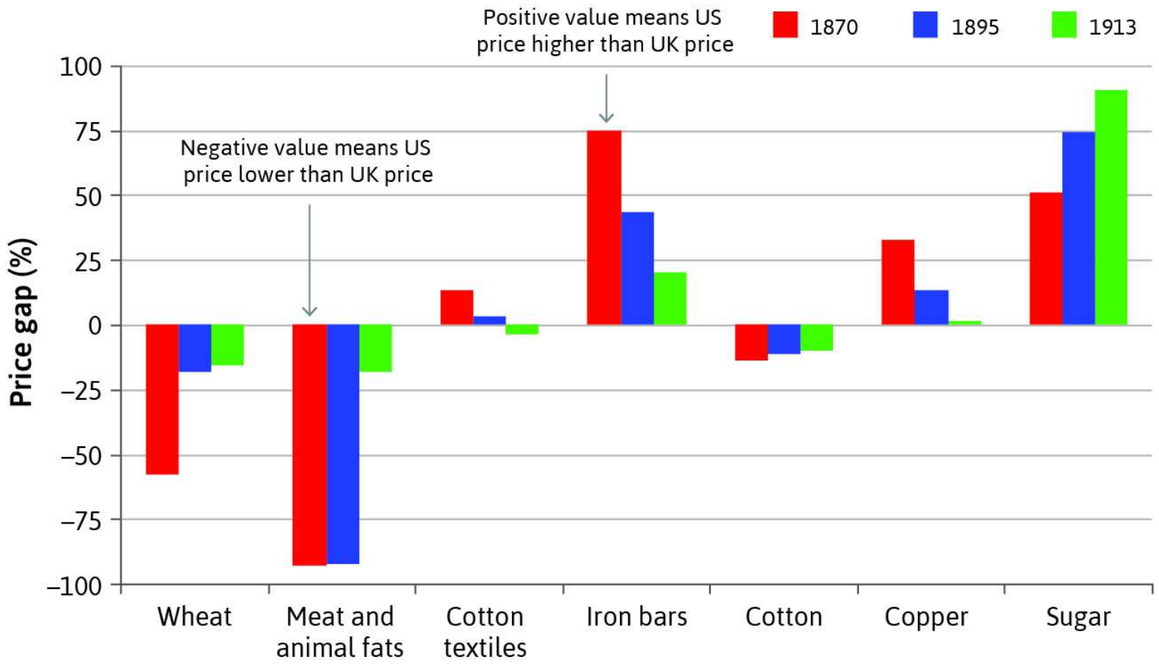
Price gap: Difference in the price of a good in the exporting and importing country.

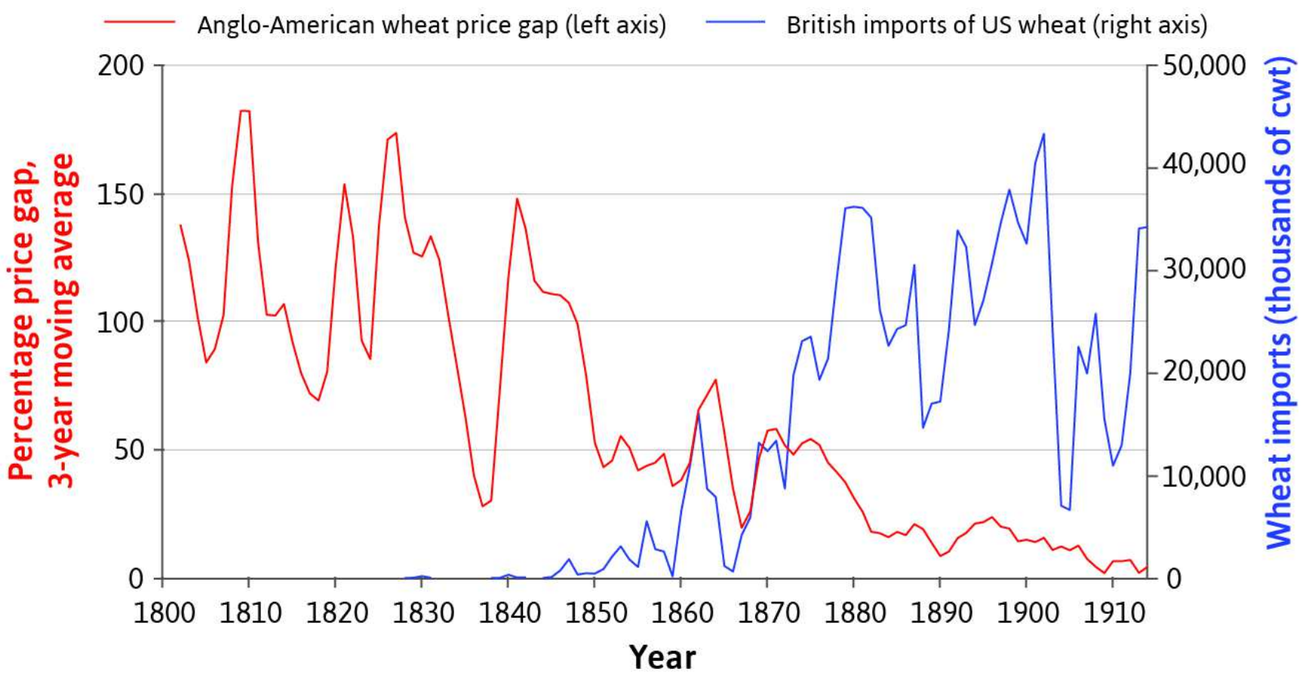
Due to **arbitrage**, in competitive equilibrium the price gap should equal the sum of all trade costs.



Evidence of globalization of goods

Price gaps between countries have generally declined over time, while the volume of goods traded has generally increased.





Trends in globalization of goods

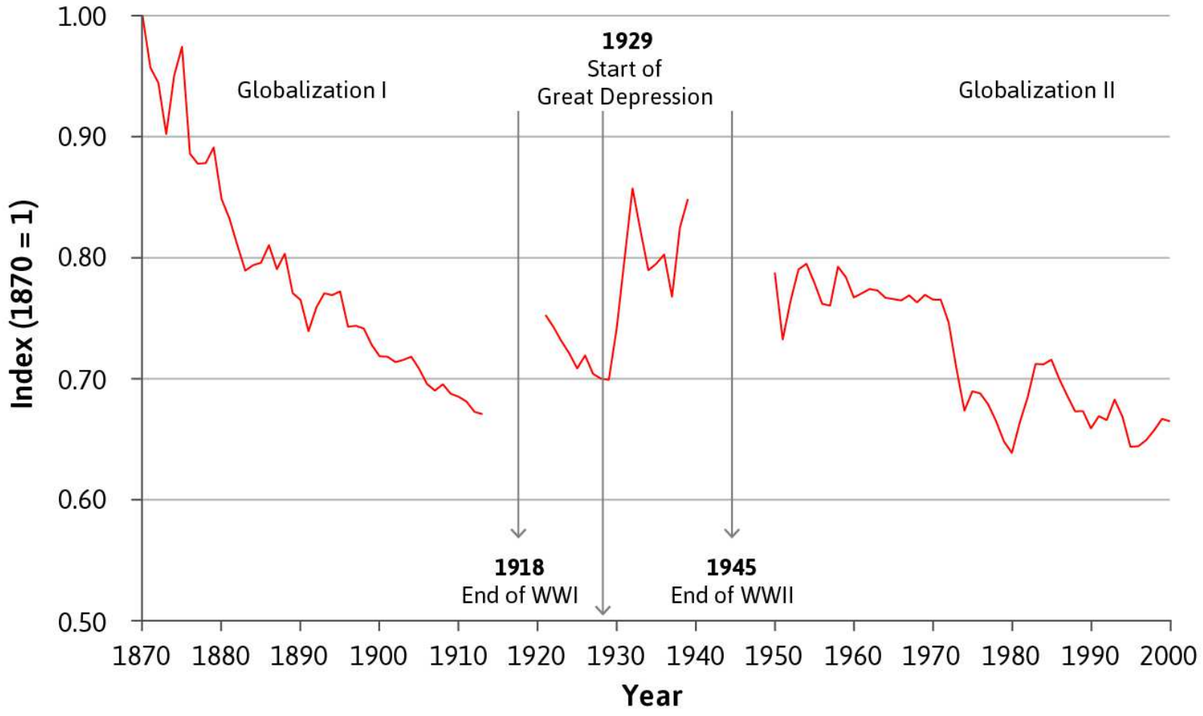
Two separate periods of increasing global economic integration:

Globalization I: before 1870 until 1914

Globalization II: the end of the Second World War until now

Deglobalization: increasing trade costs during the Depression

Partly due to protectionist policies aimed at protecting domestic employment (**tariffs** and **quotas** on imports)



Integration of Capital Markets

Countries lend and borrow from each other to finance investment.

The **balance of payments** records the sources and uses of foreign exchange, which include:

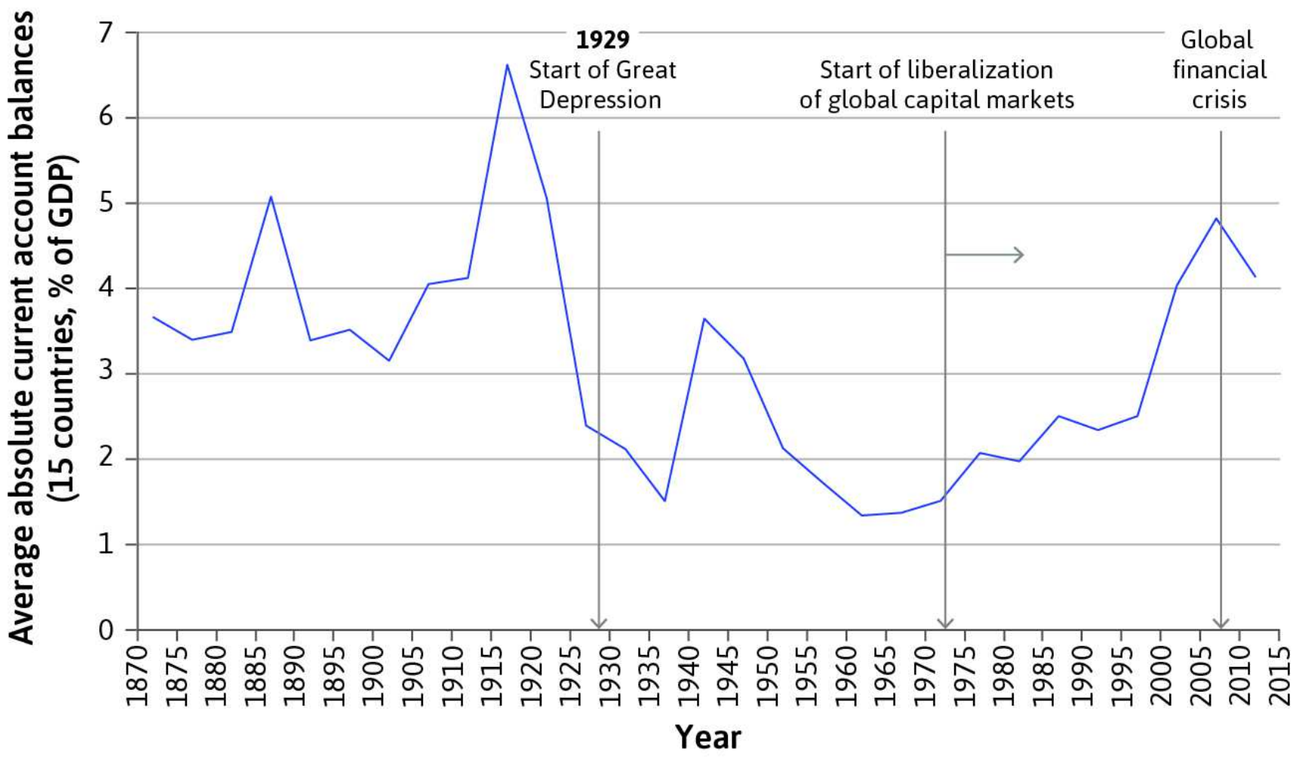
- **Portfolio investment**: buying foreign stocks/bonds
- **Foreign direct investment**: ownership of foreign physical assets

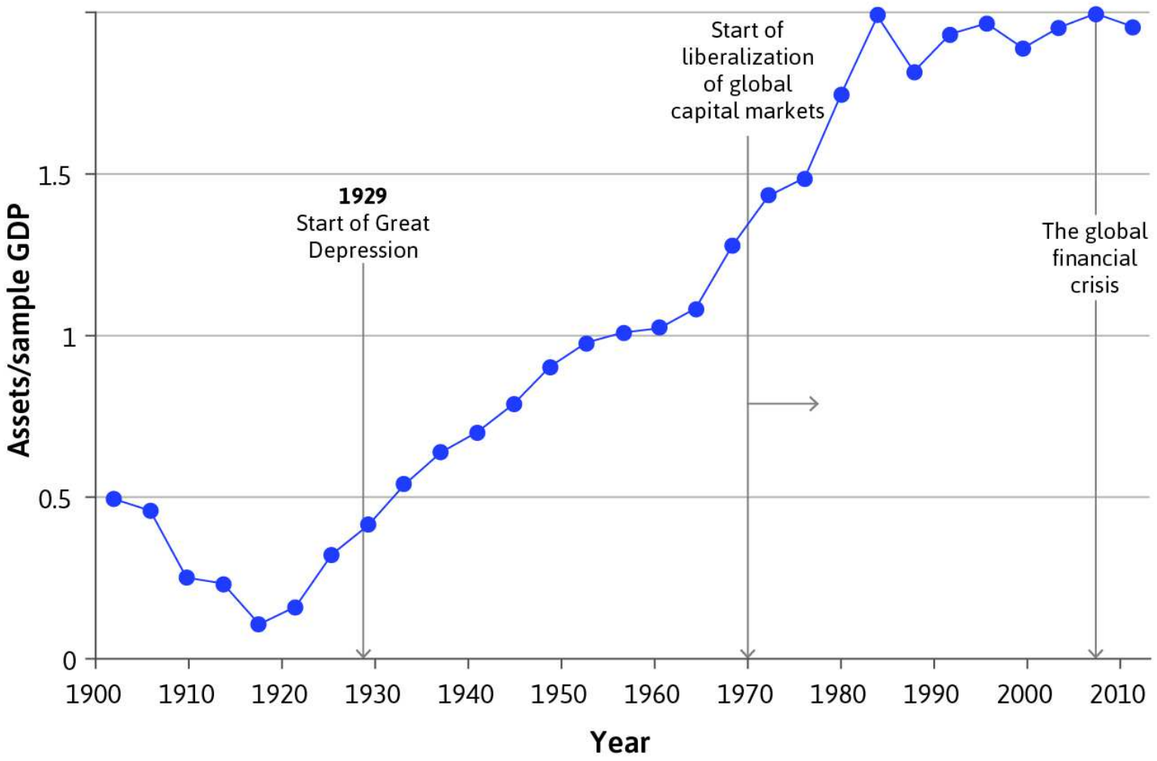
Current account (**CA**) = **exports** – **imports** + **net investment**

CA deficit: Country is borrowing (receiving **net capital flows**)

CA surplus: Country is lending (net capital outflow)

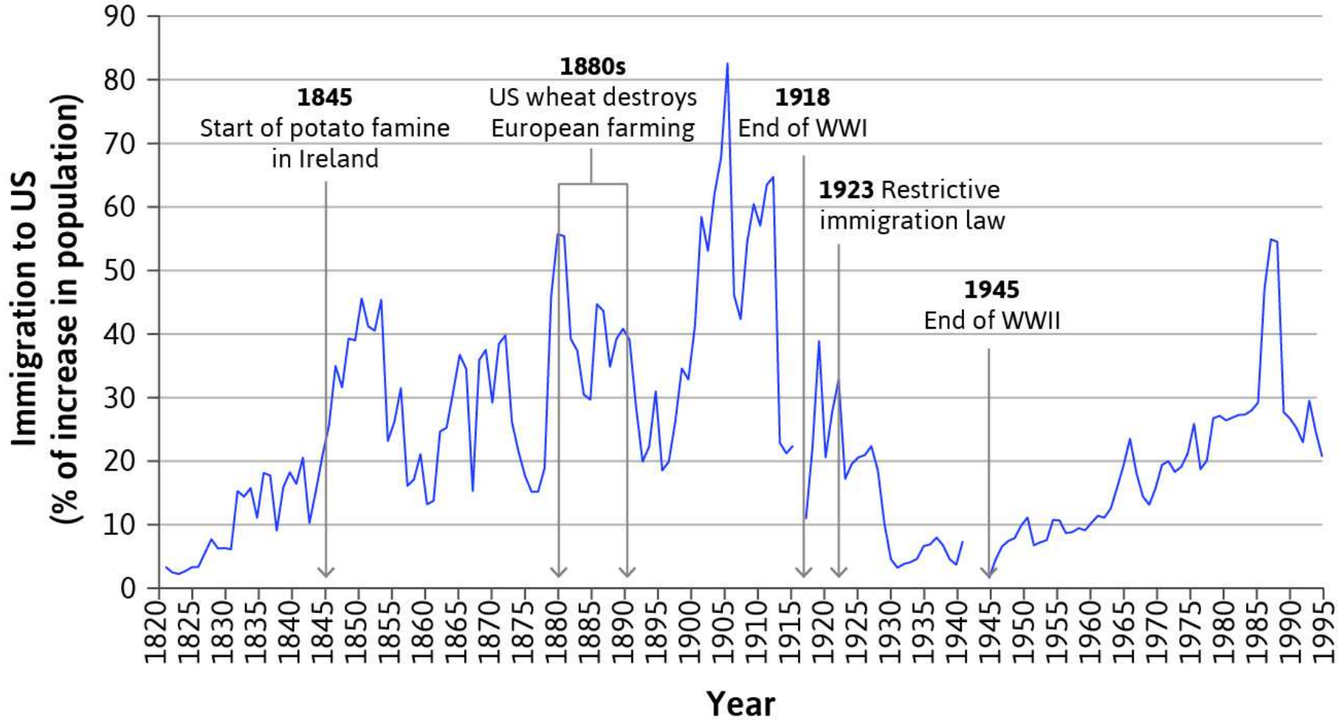
Trends in globalization of capital markets

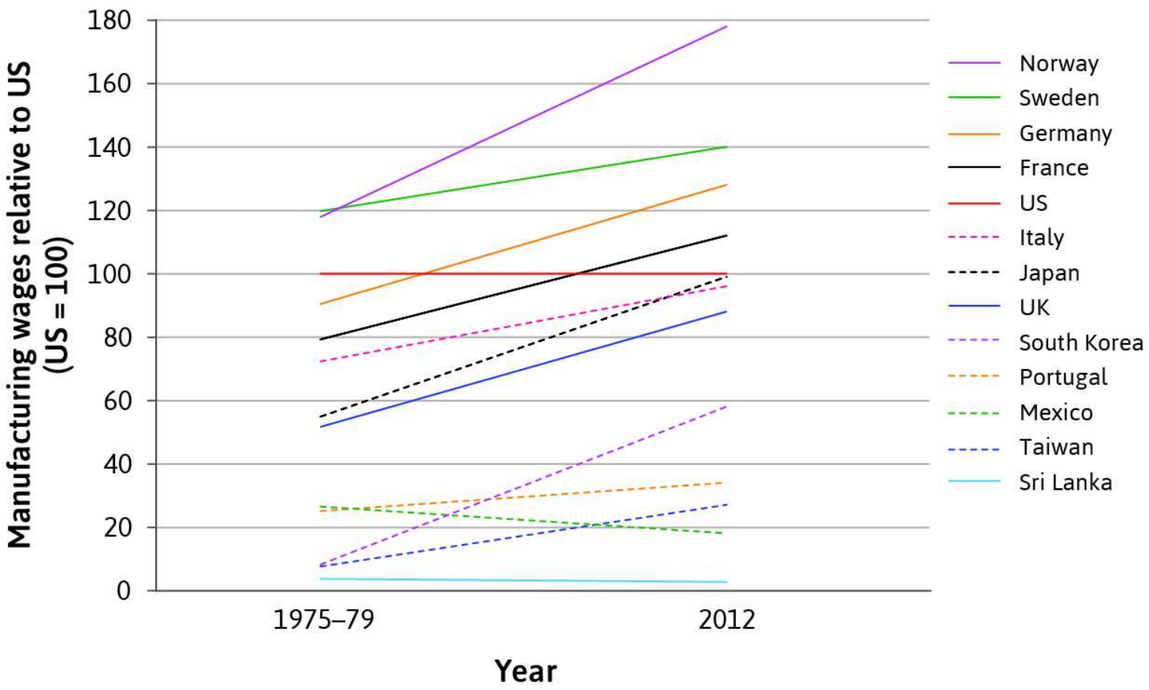




Historically, increased trade resulted in larger CA imbalances.
(Countries that trade more also tend to borrow and lend more)
International asset holdings increased over the 20th century.

Integration of labor markets?





Fewer advances in labor market integration than goods or financial market integration due to immigration barriers. Wages still differ across countries due to migration costs.

Globalization after 1945

Primary shifts in market integration:

- De-colonization – Allowed greater trade between developing countries and more of the developed world (40s and 50s)
- Financial Integration – Move to floating exchange and greater mobility of financial assets (1970s onward)
- End of Cold War – Removed the last major partition in global trade flows
- Trade Agreements – Reducing trade barriers and harmonizing regulations across large trade blocs (1970s onward)
- Labor Mobility – Increased scope of job search (limited so far)

C. Specialization and Trade

Specialization

Increased globalization means that most nations engage in both specialization and trade.

Specialization: when an entity produces a narrower range of goods than it consumes, acquiring the rest through trade.

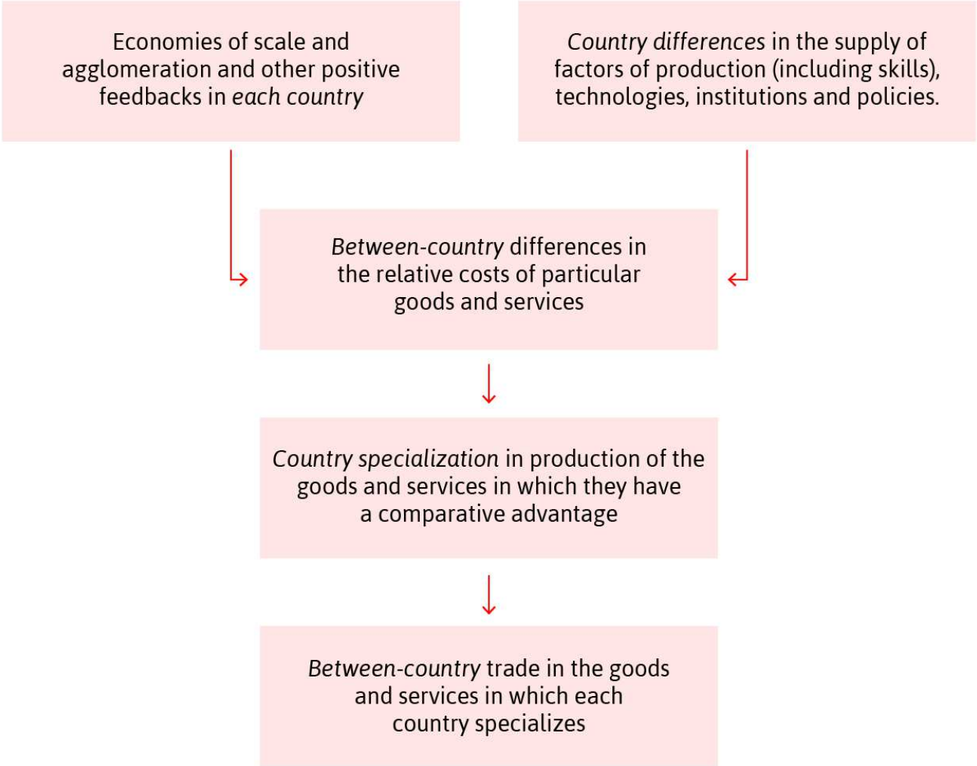
Reasons for specialization include:

- **Comparative advantage** in producing particular goods
- **Economies of agglomeration** – cost reductions from locating close to other firms in similar industries
- Economies of scale – cost advantages from producing more

Comparative Advantage

Absolute advantage: uses fewer inputs to produce a good

Comparative advantage: greatest absolute advantage, or least productivity disadvantage (comparatively better)



Trade can be mutually beneficial when both parties specialize in the good in which they have a comparative advantage.

Winners and Losers: Short Run

Opening trade increases countries' consumption possibility sets, but conflicts of interest emerge between and within countries.

Winners and losers from trade depend on the relative scarcity of factors e.g. skilled/unskilled labor, capital:

- Relatively abundant factors within a country are relatively cheap, and gain when trade raises their price towards the world average.
- Conversely, the price of relatively scarce factors falls towards the world average due to trade.

Winners and Losers: Long Run

Specialization according to comparative advantage has similar effects on labor markets as technological progress.

- Increased productivity drives up prices, including wages
- Higher wages slow job growth, but also increase demand
- In the medium run, growth in export industries creates new jobs
- Long-run adjustment process depends on how much wages shift

D. The role of policies and institutions

The power of governments

Governments have additional powers over their national boundaries (compared to within their nation):

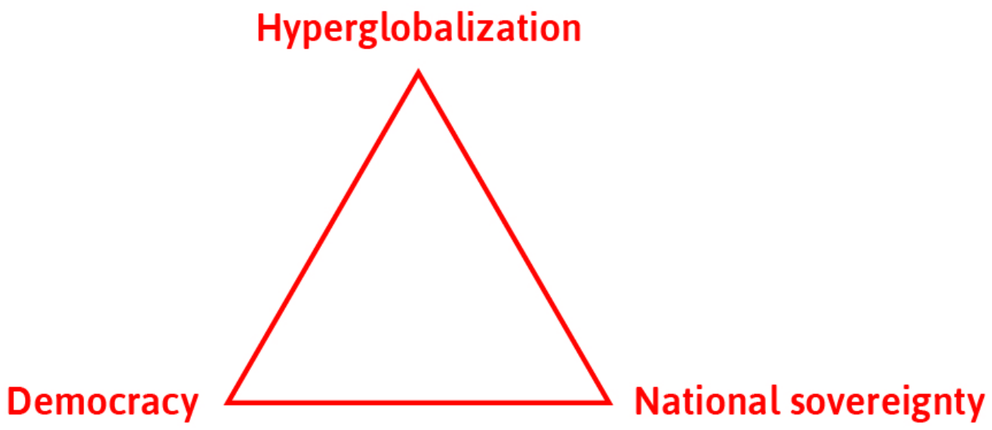
- Imposition of tariffs: Taxes on imports effectively discriminate against foreign-produced goods.
- Immigration policies: Regulate the movement of people between nations that is not possible within nations.
- Capital controls: Limits on the ability of individuals or firms to transfer financial assets among countries.
- Monetary policies: Affect the exchange rate hence the relative price of imported and exported goods.

Rodrik's Trilemma

One argument against globalization is that nations must give up some sovereignty or democracy.

Rodrik's Trilemma states it is impossible for a country to simultaneously achieve:

- **Hyperglobalization** - no political or cultural barriers to the flow of goods and investment
- Sovereignty – pursue the policies that it chooses
- Democracy – liberty and equality



Rodrik's Trilemma: Explained

If we have	then	and as a consequence	
National sovereignty (limited global governance) and Democracy	Effective national economic policies of stabilization, environmental protection and redistribution require	limits on labour and capital mobility, the opposite of hyperglobalization	**Hyper-globalization**
Hyperglobalization and National sovereignty (limited global governance)	Hyperglobalization policies are unpopular with voters because they increase economic insecurity and weaken labour rights and environmental protection and	hyperglobalization can only survive if democracy does not	**Democracy**
Hyperglobalization and Democracy	Demands for global governance (e.g. labour standards, global environmental protection, tax treaties, coordinated macro policies) that compromise nationally differentiated policies mean that	effective global governance is inconsistent with complete national sovereignty	**National sovereignty**

Trade and Growth

Globalization can promote growth:

- Competition with foreign firms accelerates the rate of technological progress
- Economies of scale due to foreign demand allows for lower-cost production, which benefits workers, owners, and buyers

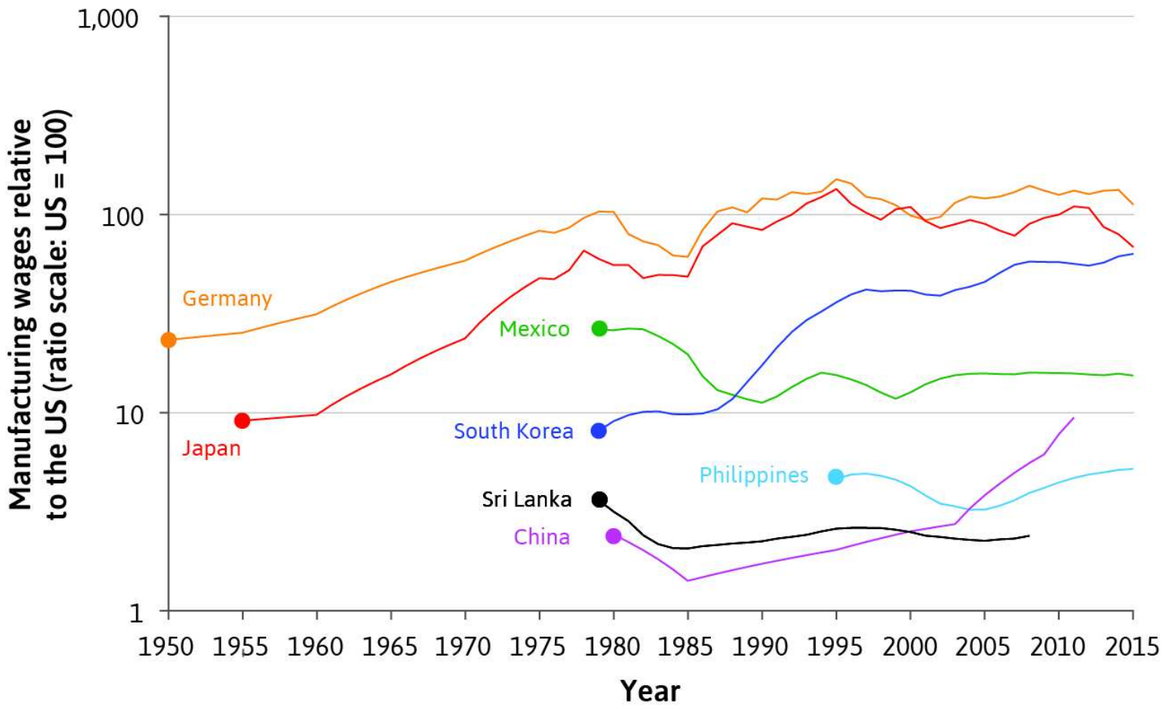
Globalization can also prevent growth:

- Disadvantageous specialization – specializing in low-innovation sectors can slow growth
- **Infant industries** – may need temporary tariff protection

Globalization and economic performance

Some countries benefit more from globalization than others. Economic success depends on how well policies have managed growth due to economic integration.

- During industrialization, Germany and the US achieved high economic growth despite high manufacturing tariffs.
- Scandinavian countries prospered through openness, with policies that help displaced workers.



Summary

1. Economies have become more integrated over time

- Specialization and trade can be mutually beneficial
- Winners and losers in the short run, both within and between countries, depending on relative factor abundance
- All parties can benefit in the long-run with good policy

2. Globalization brings new policy challenges

- **Rodrik's Trilemma** shows policy trade-offs
- Long-run success depends on policies that promote growth